The world in brief

Catch up quickly on the global stories that matter

Photograph: Getty Images

Oil and gas prices rose again after Iran said American and Israeli strikes had targeted the **South Pars** gas field, which Iran shares with Qatar. Iran vowed to retaliate by striking five energy facilities across the Gulf, and said that American-linked oil infrastructure would come “under fire with full force”. Brent crude, the global oil benchmark, jumped above $109 a barrel.

The **Federal Reserve** left its benchmark interest rate unchanged at 3.5-3.7%. It noted that developments in the Middle East had “uncertain” implications for America’s economy. Jerome Powell, the central bank’s governor, said that oil shocks would boost inflation in the short term. Stock markets fell on the news; the S&P 500 and the NASDAQ were each down by more than 1%.

Iran confirmed that an Israeli air strike had killed its intelligence minister, Esmail Khatib. His death follows **Israel’s** assassinations of Ali Larijani, secretary of Iran’s Supreme National Security Council, and Gholamreza Soleimani, head of the Islamic Revolutionary Guard Corps’ Basij militia on Tuesday. Meanwhile Israel continued attacks on Lebanon; local officials said strikes on Beirut killed at least 12 people.

Pakistan said it would pause its strikes on **Afghanistan** to mark the Eid al-Fitr holiday at the request of Saudi Arabia, Turkey and Qatar. Officials said the reprieve will last from Thursday to Monday. Fighting between Pakistan and Afghanistan has raged since last month. The Pakistani government accuses the Afghan Taliban, the militant group that runs Afghanistan, of supporting its ideological cousins across the border.

Britain's former deputy prime minister, Angela Rayner, heaped pressure on her old boss by saying Sir Keir Starmer's government is "running out of time". Ms Rayner, who stepped down last year after a property-tax scandal, is among the favourites to lead Britain next. Meanwhile Rachel Reeves, the chancellor, told *The Economist* the government would seek closer economic alignment with the European Union.

BHP, the world's biggest miner, named **Brandon Craig** as its new boss. The company veteran will replace Mike Henry, who spent more than six years at the helm of the Australian firm and oversaw several unsuccessful attempts to buy its rival, Anglo American. Mr Craig will take over as the firm shifts its focus towards copper mining and grapples with the effects of China's slowing economy.

Senegal's government called for African football's governing body to be investigated for corruption after it reversed the country's victory in the **Africa Cup of Nations**. Senegal's team temporarily left the pitch to protest a penalty decision during January's final against Morocco, before going on to win. On Tuesday the Confederation of African Football ruled the side forfeited the match by storming off.

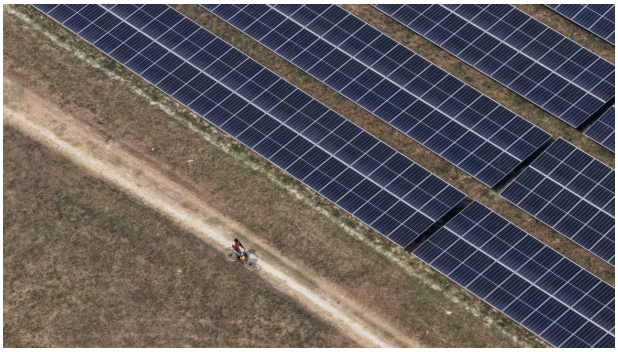
Figure of the day: Nine minutes, the time it takes BYD's new electric car to fully charge. Read about how rapid-charging batteries could remove the last remaining obstacles to widespread EV adoption.

Photograph: Anna Rose Layden/The New York Times/Redux/eyevine

America’s rate expectations

Seldom do consecutive Federal Reserve meetings look so different. Between the Fed’s last rate decision in late January and its next on Wednesday, America has gone to war with Iran and oil prices have risen by 50%, to around $100 a barrel. Unless the president manages a hasty reversal, that surge will scramble America’s recent progress in beating back inflation.

Central-banking orthodoxy suggests ignoring shocks to the supply side of the economy, like oil spikes. But inflation has surpassed the Fed’s 2% target for most of the past five years, making that insouciance harder to sustain. Central bankers’ credibility is shaky, as is the public’s confidence that inflation will promptly return to target. So, another big round of rate cuts by the Fed is off the cards for now. One victim will be Kevin Warsh, who is due to replace Jerome Powell as Fed chair in May. Any attempts to kick off his tenure by charming Mr Trump with rate cuts have probably been scuppered.



Photograph: Getty Images

Can the war renew interest in alternative sources of energy?

The past 19 days have been a reminder not to put too many oil wells near one exit. The war between America, Israel and Iran has left about 15% of global oil supply on the wrong side of the Strait of Hormuz, sending the price of crude up by more than 40% within two weeks. Goldman Sachs, a bank, said that “no products or regions” would go unaffected, and warned of worse to come for jet fuel and diesel.

Last week the governments of net fossil-fuel importing countries (which represent three-quarters of the world’s population) made a flurry of nuclear-energy announcements. This week, expect more calls for faster deployment of renewables. Britain has already brought an auction of green contracts forward from next year. But the conflict in the Gulf may complicate the oil transition as well as hasten it. Several Asian countries have responded to the shortfall in oil and gas by burning more coal, the most polluting fuel of all.

Photograph: Getty Images

There’s a new sheriff in town

In one way at least, Markwayne Mullin will have it easier than most other cabinet nominees. The first-term senator for Oklahoma is President Donald Trump’s pick to replace Kristi Noem as secretary of the Department of Homeland Security. During his confirmation hearing on Wednesday the rancher and former mixed-martial-arts fighter will be interrogated by familiar faces: his colleagues in the Senate.

In the last 25 years just five sitting senators have been nominated and confirmed to the cabinet. Mr Mullin will probably join their ranks. Like Ms Noem, he is an immigration hardliner without national-security credentials. Once in the job, he will have his work cut out. A partial government shutdown has led to long lines at airports. Democrats want to include measures to rein in immigration agents in DHS’s funding bill. A violent immigration operation in Minneapolis in January has soured Americans on Mr Trump’s mass deportation campaign. Welcome to the big time, Mr Mullin.

Photograph: Mark Abramson/The New York Times/Redux/eyevine

Disney’s new boss takes over

Josh D’Amaro will don the metaphorical mouse ears on Wednesday as he succeeds Bob Iger as chief executive of the Walt Disney Company. Mr D’Amaro, who previously ran Disney’s theme-park division, takes control at a turbulent time in Hollywood. Paramount and Warner Bros Discovery, two of Disney’s chief rivals, are planning to combine in a $100bn deal, which they hope will give them enough scale to survive the streaming wars.

Yet Disney now faces more competition from Silicon Valley. YouTube overtook Disney as the world’s biggest media company by revenue last year, according to one estimate. Young audiences prefer scrolling at home to the cinema. Artificial intelligence promises to raise the standard of user-generated content. Hollywood still has an edge in quality, as was clear at the Oscars last weekend. But guess who recently bought the rights to broadcast the gala from 2029? YouTube.

Photograph: Getty Images

A test for Japan's economy

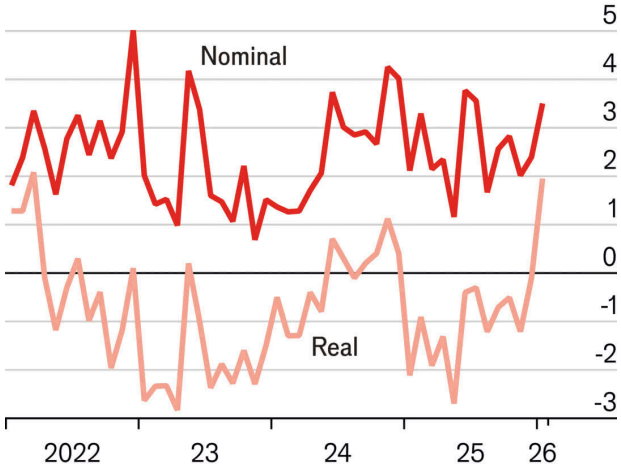
On Wednesday Japan's big companies announced their responses to unions' pay demands in the annual spring wage negotiations. Wages increased by more than 5% in both 2024 and 2025 after rising by less than 3% per year for decades. Unions wanted nearly 6% this year, and many companies fully accepted their requests.

Policymakers would like to see a virtuous cycle of wage and price increases take hold. Real wages fell by 1.3% in 2025 as inflation outpaced pay rises, leaving workers worse off on average. A strong number this year would also bolster the case for a further rate increase by the Bank of Japan. It has been normalising monetary policy after years of negative interest rates—and wage growth is its main gauge of whether inflation is sustainable.

Japan, which imports more than 90% of its oil from the Middle East, is also particularly exposed to the effects of the Iran war. Nevertheless, the central bank is expected to hold rates steady at 0.75% this month.

The realities of pay

Japan, wages, % change on a year earlier



Source: Ministry of Health, Labour and Welfare

Illustration: Sandra Navarro

Daily quiz

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 GMT on Friday to . We'll pick three winners at random and crown them on Saturday.

Wednesday: Which actor played Ken in the Barbie live action movie?

Tuesday: The Bellman is a key character in which Lewis Carroll poem?

Only the brave know how to forgive.

Laurence Sterne